



Line items not matching industry standards

Let's say an electronics company has no expenses related to warranty and guarantee. Whereas out of the five industry participants, four have such significant expenses. In such a case, we need to check if the company offers a guarantee or warranty on its products. If it does so and the line item does not reflect in the financial statements, it is a red flag. This is because all others in the industry report such expenses, except this company.

Thus, if line items do not match industry standards, it might indicate a problem. We must look at the balance sheet and income statements of various companies in the industry. We need to look for the following:

- ◇ Items that are present in the financials of other companies but not this company.
- ◇ Items that are reported by this company but not by others in the industry.

If you do not find any specific reasons, it is a possible red flag that must be looked into carefully.